DIRECTORS AND OFFICERS

SECTION I. INSURING AGREEMENTS

Insuring Agreement A – Non-Indemnifiable Directors & Officers Liability: We shall pay on behalf of any Insured Person all **Non-Indemnifiable Loss** which such Insured Person is legally obligated to pay as a result of a **Claim** for a **Wrongful Act**, except to the extent that such Loss has been indemnified by the Insured Organization. This coverage applies only to Claims first made against an Insured Person during the **Policy Period** (or any applicable Extended Reporting Period) and reported to us in accordance with Section V of this Policy.

Insuring Agreement B – Indemnifiable Directors & Officers Liability: We shall pay on behalf of the Insured Organization all Loss (other than Non-Indemnifiable Loss) which the Insured Organization has indemnified an Insured Person to the fullest extent permitted or required by law. Coverage under this Insuring Agreement B applies to Loss which an Insured Person is legally obligated to pay as a result of a Claim for a Wrongful Act, provided such Claim is first made during the Policy Period (or any Extended Reporting Period) and reported to us in accordance with Section V. (Indemnifiable Loss is defined in Section II below.)

Insuring Agreement C – Entity Liability Coverage: We shall pay on behalf of the Insured Organization all Loss which the Insured Organization is legally obligated to pay as a result of a Claim for a Wrongful Act committed by the Insured Organization. This Insuring Agreement C applies only to Claims first made against the Insured Organization during the Policy Period (or any Extended Reporting Period) and reported to us pursuant to Section V of this Policy.

For purposes of Insuring Agreements A and B above, if a Claim includes an investigation involving an Insured Person (as defined in Section II), such investigative proceeding shall be treated as a Claim, provided it is first received by the Insured Person during the Policy Period and otherwise meets the definition of Claim.

SECTION II. DEFINITIONS

A. **"Claim"** means:

1. **a written demand** for monetary, non-monetary or injunctive relief (including a written request to toll or waive a statute of limitations or to engage in alternative dispute resolution) against an **Insured**;
2. **a civil proceeding** commenced by the service of a complaint or similar pleading (including any appeal therefrom) against the **Insured**;
3. **a criminal proceeding** commenced by the return of an indictment, filing of charges or similar document (including any appeal therefrom) against the **Insured**;
4. **a formal administrative or regulatory proceeding** (including an formal investigation of an Insured) commenced by the filing or issuance of notice of charges, formal investigative order, indictment or similar document, (including any appeal therefrom) against the **Insured; an arbitration, mediation or other alternative dispute resolution proceeding** in which an Insured is required to participate or to which the Insured submits with our written consent;
5. **an Inquiry involving an Insured Person**, but only with respect to Insuring Agreements A and B. "Inquiry" means a formal or informal investigative proceeding by any law enforcement or regulatory authority (including any

subpoena, target letter, Wells Notice or similar written request) received by an Insured Person that identifies such person as one against whom a proceeding described above *may* be commenced. An Inquiry also includes any written request to an Insured Person by a governmental or **Regulatory Body** for an interview, testimony, or documents in connection with the business of the Insured Organization or that Insured Person's capacity as such. (Coverage for Inquiry costs is limited to the extent such costs constitute Defense Costs as defined below.)

B. **"Derivative Suit"** (a lawsuit made on behalf of or in the name of the Insured Organization by a security holder of the Insured Organization) is also considered a Claim under this Policy. However, a **Derivative Demand** (a shareholder's written demand upon the Insured Organization's board to initiate such a lawsuit) is **not** a Claim under this base Policy form (coverage for derivative investigation costs may be provided by separate endorsement, if purchased).

C. **"Defense Costs"** means the reasonable and necessary fees, costs and expenses incurred in the investigation, defense or appeal of a Claim, including the cost of appeal bonds or similar bonds (without any obligation to furnish such bond on the part of the Insurer). **Defense Costs** include attorneys' fees and expert fees, and also include reasonable costs incurred by an Insured Person in lawfully opposing or responding to an extradition proceeding (to the extent such proceedings are part of a covered Claim). Defense Costs shall not include salaries, overhead, or other compensation of any Insured.

D. **"Insured Organization"** means the Named Insured stated in the Declarations and any **Subsidiary**. *Named Insured* means the entity named as such in the Declarations. **Subsidiary** means any entity of which the Named Insured has direct or indirect **Control**. "Control" means ownership of more than 50% of the outstanding voting securities representing the present right to elect a majority of the board of directors or equivalent management body of an entity. Subsidiary includes any such entity over which the Named Insured has Control on or before the inception date of this Policy, and any entity acquired or created during the Policy Period subject to the following: (1) if the new entity's total assets do not exceed 50% of the Named Insured's total consolidated assets as of the Policy inception, such entity shall be automatically covered as a Subsidiary; (2) if the new entity's assets exceed 50% of the Named Insured's assets, the entity shall be covered as a Subsidiary for a period of 90 days from its acquisition or formation (and only for Wrongful Acts occurring after its acquisition) unless the Insured Organization gives written notice to us of the acquisition within that 90-day period and agrees to any additional premium or coverage terms required by us for extension of coverage beyond the 90 days. An entity ceases to be a Subsidiary when the Named Insured no longer maintains Control over it.

E. **"Insured Person"** means any natural person who is or was a duly elected or appointed director, officer, general partner, managing member, or member of the board of managers of the Insured Organization. Insured Person also includes any full-time or part-time employee of the Insured Organization (including their functional equivalents), but **only** with respect to a Claim: (i) that is also made against a director or officer of the Insured Organization; or (ii) that is a Securities Claim (as defined below). (Coverage for employees who are not directors or officers is intended to apply to securities claims and to claims that are jointly made against management, and is not intended to apply to stand-alone employment liability or professional liability claims under this Policy.) Insured

Person also includes any natural person who is a duly elected or appointed *director or officer of an Outside Entity* but only while serving at the specific direction of the Insured Organization (coverage for such Outside Entity Executives is not provided under this base Policy unless added by endorsement).

F. **"Insured"** means the Insured Organization and any Insured Person. **"You"/"Your"** (and **"Us"/"Our"**) in this Policy refer to the Insured (you) and the Insurer (us) respectively, as defined herein.

G. **"Loss"** means the amount that an Insured becomes legally obligated to pay as a result of a Claim, including: damages (compensatory, punitive, exemplary, and multiplied damages), judgments, settlements, pre-judgment and post-judgment interest, and **Defense Costs**. Loss shall include punitive or exemplary damages and the multiple portion of multiplied damages, to the extent such amounts are insurable under the law of the applicable jurisdiction. **Loss does not include**: (1) fines or penalties imposed by law, except that Loss *will* include civil fines and penalties assessed against Insured Persons to the extent such fines or penalties are insurable under applicable law; (2) taxes, or the loss of tax benefits, or matters uninsurable as a matter of law; (3) any amount representing the restitution, return, disgorgement or rescission of ill-gotten gains, profits, or contractual payments to which the Insured was not legally entitled; (4) costs incurred to comply with any injunctive or other non-monetary relief, or to fulfill any agreement to provide such relief; or (5) any amount that constitutes internal wages, salaries, or benefits of any Insured Person. **Provided, however**, that we will not assert that the portion of any settlement or judgment in a Securities Claim arising from an offering of securities (including alleged violations of Sections 11, 12 or 15 of the Securities Act of 1933) constitutes uninsurable loss, and such portion of Loss shall be covered (subject to all other terms and exclusions of this Policy).

H. **"Non-Indemnifiable Loss"** means any Loss incurred by an Insured Person for which the Insured Organization has neither indemnified nor is permitted or required to indemnify the Insured Person pursuant to law or contract. **"Indemnifiable Loss"** means any Loss that is not Non-Indemnifiable Loss (i.e. Loss which the Insured Organization is permitted or required to indemnify to an Insured Person).

I. **"Wrongful Act"** means: (1) with respect to an Insured Person, any actual or alleged act, error, omission, misstatement, misleading statement, neglect, breach of duty, or other wrongful conduct committed or attempted by an Insured Person in their capacity as such (including any matter claimed against an Insured Person solely by reason of serving in such capacity); and (2) with respect to the Insured Organization (for purposes of Insuring Agreement C), any actual or alleged act, error, omission, misstatement, misleading statement, neglect, breach of duty, or other wrongful conduct committed or attempted by the Insured Organization. Multiple Wrongful Acts that are logically or causally connected by common facts, circumstances, situations, transactions or events shall be deemed interrelated **Interrelated Wrongful Acts** and treated as a single Wrongful Act.

J. **"Securities Claim"** means any Claim (including a civil lawsuit or regulatory proceeding) against an Insured alleging a violation of any federal, state, local or foreign law, regulation or rule (whether statutory or common law) governing securities, including the offer, sale, purchase or distribution of securities. **Securities Claim** includes any Claim brought by a securities holder of the Insured Organization in their capacity as such (including derivative actions), or brought by a governmental or regulatory authority in connection with such alleged violations.

*(Any terms appearing in **bold** in this Policy are defined in this Section II or elsewhere herein. In interpreting this Policy, the titles of sections or paragraphs are for reference only and do not expand or limit coverage.)*

SECTION III: LIMITATIONS OF LIABILITY AND RETENTIONS

A. **Policy Limit of Liability – Aggregate:** The Limit of Liability stated in the Declarations for this Directors & Officers Liability Coverage is the maximum amount the Insurer will pay for all Loss under Insuring Agreements A, B, and C combined, for all Claims first made during the Policy Period and any Extended Reporting Period. This limit is an aggregate limit for the Policy Period and is eroded by any payment of Loss (including Defense Costs) under any Insuring Agreement. The purchase of an Extended Reporting Period shall not increase or reinstate the Policy's Limit of Liability.

B. **Retention – Payment of Loss:** The Insurer shall only be liable for the amount of covered Loss arising from each Claim that is in excess of the applicable **Retention** amount stated in the Declarations. The Retention shall be borne by the Insureds (or by the Insured Organization on behalf of Insured Persons) and remain uninsured. No Retention shall apply to Insuring Agreement A (Non-Indemnifiable D&O Liability) – i.e., Loss constituting Non-Indemnifiable Loss shall be paid by the Insurer from first dollar, without retention. A Retention shall apply to Loss under Insuring Agreement B and Insuring Agreement C as specified in the Declarations (subject to any applicable reductions or waivers stated below).

C. **Single Retention for Interrelated Claims:** If a single Claim gives rise to coverage under multiple Insuring Agreements, or if multiple Claims are based upon Interrelated Wrongful Acts, only one Retention shall apply to such Loss. In such case, the highest applicable Retention among the Insuring Agreements triggered by the Claim shall apply. The Insured Organization will be responsible for payment of the Retention, except that no Retention shall be applied to Non-Indemnifiable Loss (if a Claim against an Insured Person is Non-Indemnifiable, coverage is provided under Insuring Agreement A from first dollar). If the Insurer pays any Loss (including Defense Costs) within the amount of a Retention on behalf of an Insured, the Insured Organization (or as applicable, the Insured Person) agrees to reimburse the Insurer for such amounts up to the Retention amount.

D. **Retention Waiver in Event of Insolvency:** If the Insured Organization is unable to indemnify an Insured Person or pay a Retention due to financial insolvency or bankruptcy, any Retention applicable to Insuring Agreement B for such Loss shall be waived and the Insurer will advance or pay 100% of Loss, provided that the Insured Organization's inability to pay is due to a formal bankruptcy, receivership or liquidation proceeding (and not merely a refusal or failure to indemnify).

E. **Priority of Payments:** If Loss arising from a single Claim is covered under Insuring Agreement A (Non-Indemnifiable D&O) and also under Insuring Agreement B or C, the Insurer shall, to the maximum extent practicable and permitted by law, pay such Loss as follows: first, the Insurer shall pay that portion of Loss which constitutes Non-Indemnifiable Loss covered under Insuring Agreement A (for the benefit of Insured Persons); and second, the Insurer shall pay any remaining Loss covered under Insuring Agreement B or C. The exhaustion of the Policy's Limit of Liability by payment of such Loss shall not relieve the Insurer of its obligation to pay covered Non-Indemnifiable Loss under Insuring Agreement A using any **Additional Side A Limit** that may be endorsed to this Policy (if purchased via endorsement), which additional limit, if applicable, would

apply excess of the Policy's aggregate limit solely for the benefit of Insured Persons (Side A coverage) in the event of the Insured Organization's Insolvency.

(For any coverage features such as Additional Side A Limits, Derivative Investigation Costs, or other enhancements not included in this base form, separate endorsements are required. This base Policy provides coverage only for the Insuring Agreements A, B, C as set forth in Section I.)

SECTION IV: EXCLUSIONS

The Insurer shall not be liable to pay any Loss in connection with any Claim made against any Insured **based upon, arising out of, or attributable to** any of the following (except as otherwise stated). For the purpose of determining the applicability of Exclusions in this Section IV, the facts pertaining to and knowledge possessed by any Insured Person shall not be imputed to any other Insured Person; only the knowledge of a past or present chief executive officer or chief financial officer of the Insured Organization shall be imputed to the Insured Organization (and only for the purpose of determining if coverage is precluded for the Insured Organization).

A. **Bodily Injury/Property Damage:** Any actual or alleged bodily injury, sickness, disease, or death of any person; or damage to or destruction of any tangible property (including loss of use thereof); or any mental anguish, emotional distress, or humiliation; **provided, however,** that this exclusion shall **not** apply to: (i) Defense Costs incurred by an Insured Person in connection with a Claim against such Insured Person for a violation of the United Kingdom Corporate Manslaughter and Corporate Homicide Act 2007 (or any similar statute in any other jurisdiction); (ii) any Claim brought by one or more security holders of the Insured Organization in their capacity as such (including any derivative claim on behalf of the Insured Organization); or (iii) any Claim that is covered under Insuring Agreement A (Non-Indemnifiable D&O) – for example, a Claim against an Insured Person by a third party alleging a management Wrongful Act that led to bodily injury (this ensures that Insured Persons remain covered for shareholder or derivative actions arising from catastrophic events, subject to all other terms of the Policy).

B. **Prior Notice / Prior Litigation:** Any Claim involving any fact, circumstance, situation, transaction, event or Wrongful Act that, before the inception date of this Policy, was the subject of any notice given under any directors & officers or comparable liability insurance policy, or of which notice **could have been given** under any such prior policy. This exclusion also applies to any Claim alleging or arising from the same or essentially the same facts alleged in any litigation, administrative or regulatory proceeding that was pending as of the Continuity Date stated in the Declarations.

C. **Intellectual Property:** Any actual or alleged infringement of copyright, patent, trademark, trade name, trade dress, service mark, trade secret misappropriation, or other intellectual property violation, or any invasion or violation of any person's right of privacy or publicity. **However,** this exclusion **applies only** to coverage under Insuring Agreement C (Entity Liability) and **shall not apply** to any **Derivative Suit** brought on behalf of the Insured Organization, **nor** to any Securities Claim (including any Claim alleging misrepresentations or omissions in connection with the offer or sale of the Insured Organization's securities).

D. **Contractual Liability:** Any actual or alleged contractual liability of the Insured Organization, including any liability of the Insured Organization under any express contract or agreement. This exclusion **applies only** to Insuring Agreement C (Entity Liability) and does **not** apply to: (i) any Claim against the Insured Organization that

would have existed in the absence of the contract or agreement; (ii) any **Derivative Suit** brought on behalf of the Insured Organization; or (iii) any Claim brought by one or more security holders of the Insured Organization in their capacity as such (including a Claim alleging wrongful failure to fulfill contractual obligations owed to shareholders).

E. **ERISA Obligations:** Any actual or alleged violation of the responsibilities, obligations or duties imposed by the Employee Retirement Income Security Act of 1974 (ERISA), the Pension Protection Act of 2006, or any amendments or regulations thereto (or similar provisions of any state, local or foreign law) respecting any employee benefit plan. (This exclusion does not apply to any Claim for retaliatory treatment of an employee for whistleblowing under ERISA §510, which would be covered unless otherwise excluded.)

F. **Insured vs. Insured:** Any Claim brought or maintained by or on behalf of: (1) the Insured Organization (including any successor or trustee thereof) against any Insured Person; or (2) any Insured Person against any other Insured (including any Claim in which an Insured Person assists or solicits others to bring a claim against an Insured); or (3) any Outside Entity (or any director, officer or trustee of an Outside Entity) against an Insured Person arising out of that Insured Person's service in any capacity with such Outside Entity. **However,** this exclusion shall **not** apply to: (i) **Defense Costs** of Insured Persons under Insuring Agreement A – i.e., this exclusion does not prevent coverage for Defense Costs for an Insured Person in the event the Insured Organization (or any Affiliate thereof) brings a Claim against such Insured Person; (ii) any Claim that is a **whistleblower** action brought by an Insured Person under federal, state, local or foreign law (such as a whistleblower retaliation claim); (iii) any **derivative action** or Claim brought derivatively on behalf of the Insured Organization by one or more persons who are not Insured Persons, and which is brought without the solicitation or assistance of any Insured (unless such Insured's participation is legally required or protected); (iv) any Claim brought by a bankruptcy trustee, receiver, creditors' committee, liquidator or similar official of the Insured Organization (or of any Outside Entity) or any assignee of such official, including any Claim brought under the U.S. Bankruptcy Code on behalf of or in the right of the Insured Organization; (v) any Claim brought in a jurisdiction outside the United States where such Claim must, by law, be brought or maintained by the Insured Organization or Outside Entity itself (this carve-back applies only to the extent the Claim is brought without the active assistance or participation of any Insured Person not required by law); or (vi) any Claim brought by an Insured Person who has not served in such capacity for at least one (1) year prior to the date the Claim is first made, and who is acting independently of, and without the solicitation, assistance or participation of, any Insured who is serving in that capacity (this includes Claims by former directors or officers after a waiting period, so long as no current Insured improperly cooperates in the Claim).

G. **Public Offerings of Securities:** Any Claim arising from or in connection with any public offering of securities issued by the Insured Organization (including any actual or alleged purchase or sale, or offer or solicitation of an offer to purchase or sell, such securities) occurring after the Insured Organization has become a publicly traded entity. This exclusion also applies to any Claim alleging purchase or sale of the Insured Organization's securities in the secondary market after the effective date of an initial public offering. **However,** this exclusion shall not apply to: (i) any Claim for a Wrongful Act in connection with a private placement of the Insured Organization's securities to accredited investors in a transaction exempt from registration under the Securities Act of 1933; (ii) any Claim made by security holders of the Insured Organization for the failure

of the Insured Organization to undertake or complete an initial public offering of securities; or (iii) any Claim for a Wrongful Act related to the Insured Organization's preparation for a public offering (including roadshow presentations or similar efforts to attract investors) in the event the public offering does not actually occur.

H. **Personal Profit and Fraud:** Any Claim against an Insured: (1) based upon or arising from the Insured gaining any personal profit, remuneration or financial advantage to which the Insured was not legally entitled; **or** (2) based upon or arising from any deliberately fraudulent or **criminal act** or omission, or any willful violation of law, by the Insured; **if** in either case a final, non-appealable adjudication in the underlying action establishes such unlawful profit or fraudulent/criminal conduct. For clarity, this exclusion will not apply unless and until there is a final adjudication in the underlying proceeding adverse to the Insured that establishes the Insured committed the conduct described in (1) or (2) above. **For purposes of this exclusion:** the Wrongful Acts or knowledge of one Insured Person shall not be imputed to any other Insured Person, and only the Wrongful Acts or knowledge of a past or present chief executive officer or chief financial officer of the Insured Organization shall be imputed to the Insured Organization. Furthermore, with respect to any Claim alleging violations of Section 11 or 12 of the Securities Act of 1933, no conduct pertaining to an Insured's due diligence defense or failure to fulfill a duty of due diligence shall be imputed to any other Insured Person.

I. **Professional Services:** Any Claim arising from, based upon, or attributable to the rendering of, or failure to render, professional services (including **Technology Services** or the design, manufacture or sale of any **Technology Products**) to a third party for a fee by any Insured. This exclusion is not applicable to a shareholder derivative Claim or a Claim brought by one or more of the Insured Organization's security holders in their capacity as such. (For example, if shareholders sue the Insured's directors alleging mismanagement of the company's professional services business, that Claim would be covered; however, a direct Claim by a client alleging the Insured's negligent provision of professional services would fall under this exclusion, as such claims are intended to be covered under an Errors & Omissions or professional liability policy.)

All other matters that are not expressly covered by this Policy, or that are otherwise excluded by the terms, conditions, or endorsements of this Policy, are outside the scope of coverage. The Insurer relies upon the accuracy and completeness of information provided by the Insureds in the application in deciding to issue this Policy (see Section V, Conditions, regarding Representations and Severability).

SECTION V: NOTICES AND CONDITIONS

A. **Notice of Claims:** As a condition precedent to coverage, the Insureds must give written notice to the Insurer of any Claim as soon as practicable after a **Executive Officer** (e.g. a chief executive or equivalent) of the Insured Organization becomes aware of the Claim, but in no event later than 90 days after the end of the Policy Period (or the end of the Extended Reporting Period, if applicable). All notices shall be sent to the Insurer at the address indicated in the Declarations (or by email to the address designated for such notices). If during the Policy Period an Insured becomes aware of specific circumstances or a specific Wrongful Act that may reasonably give rise to a future Claim, the Insured may provide written notice of such circumstances to the Insurer with details of the potential Wrongful Act and the reasons anticipating a Claim, along with relevant particulars (persons involved, date, potential damage, etc.). In that event, any Claim subsequently arising from the reported circumstances shall be deemed to have been first

made during the Policy Period (on the date the Insurer received the notice of circumstances). Multiple Claims involving Interrelated Wrongful Acts shall be deemed one Claim first made on the date the earliest of such Claims was first made or deemed made under this Policy or any prior policy.

B. **Defense and Settlement:** This Policy is issued on a **duty-to-reimburse** (or "defense costs advancement") basis. This means the Insureds have the duty to defend Claims made against them, and the Insurer does not assume any duty to defend. The Insurer shall advance covered Defense Costs on a current basis, no later than 90 days after receipt of itemized defense bills and any reasonable information we may request to support such costs. The Insureds shall not admit liability, enter into any settlement, stipulate to any judgment, or incur any Defense Costs without the Insurer's prior written consent (which shall not be unreasonably withheld). The Insurer has the right, but not the obligation, to effectively associate in the defense and negotiation of any Claim, and the Insureds shall give the Insurer full cooperation and such information as the Insurer reasonably requires. The failure of one Insured to cooperate with the Insurer shall not impair the rights of any other Insured under the Policy. If all Insureds who are defendants in a Claim are able to dispose of the Claim (including Defense Costs) for an amount not exceeding the applicable Retention, then the Insurer's consent shall not be required for such disposition. The Insurer shall have no obligation to pay any Loss (including Defense Costs) or to defend or continue to defend any Claim after the Policy's Limit of Liability has been exhausted.

C. **Allocation:** In the event a Claim involves both covered matters and uncovered matters (including claims against insured and uninsured parties), the Insurer and Insureds shall use their best efforts to fairly and reasonably allocate such Loss between covered and uncovered amounts. If the Insureds and Insurer cannot agree on allocation, the Insurer shall advance Defense Costs it believes to be covered until a different allocation is negotiated, arbitrated, or determined by a court. Any negotiated or determined allocation of Defense Costs shall be applied retroactively to all Defense Costs, with appropriate adjustments made between the Insurer and Insureds. (Any allocation dispute shall not preclude the Insurer from advancing the portion of Defense Costs that would be covered under the Insurer's good faith position on allocation.)

D. **Other Insurance:** This Policy shall apply only as excess over, and shall not contribute with, any other valid and collectible insurance available to any Insured, unless such other insurance is written specifically excess of this Policy. This provision does not apply to insurance that is written as **specific excess** of this Policy or to any policies of which this Policy is a direct renewal or replacement. (For example, if the Insured Organization has a separate general liability, employment practices liability, or professional liability policy that may cover a Claim, this D&O Policy will be excess of such other insurance unless that other policy is written expressly excess of this one.)

E. **Subrogation and Recoupment:** In the event of any payment under this Policy, the Insurer shall be subrogated to the rights of the Insureds to recover from any other party (other than another Insured) that is legally responsible for the Loss. The Insureds agree to execute all papers required and do everything necessary to secure and preserve such subrogation rights, including the execution of any documents necessary for the Insurer to bring suit in their name. **However,** the Insurer **waives** any right of subrogation against an Insured Person, unless Exclusion H (Personal Profit & Fraud) applies to that Insured Person and the final adjudication of the Claim established that such Insured Person committed the conduct set forth therein. In no event shall the Insurer seek subrogation or

recovery from an Insured Person for Loss covered under Insuring Agreement A. If the Insurer recovers any amount after paying Loss under this Policy, the Insurer shall reinstate the applicable Limit of Liability to the extent of such recovery, less any reasonable recovery expenses and any amounts paid to the Insureds as recoverable retentions or uninsured losses.

If the Insurer pays any Loss on behalf of an Insured that is within the Insured's Retention or not covered under the terms of this Policy, the Insurer has the right to recoup such amounts from the Insured.

F. **Representations and Severability:** By accepting this Policy, the Insureds agree that the statements in the **Application** (which shall be deemed attached to and incorporated into this Policy) are true, accurate and complete, and that the Application shall be the basis of this Policy and deemed incorporated herein. This Policy is issued in reliance upon the truth and completeness of the statements in the Application. In the event the Application contains misrepresentations or omissions material to the acceptance of the risk or the hazard assumed by the Insurer, the Insurer shall be entitled to rescind or void this Policy *ab initio* as to any Insured who knew of such misrepresentation or omission (whether individually or via the knowledge of certain persons as imputed below), subject to applicable law. No state of mind or knowledge of any Insured Person shall be imputed to any other Insured Person for purposes of determining the availability of coverage (or the applicability of Exclusion H or the Insurer's rights to rescind). Only the knowledge of the Chief Executive Officer, Chief Financial Officer, President, Chief Operating Officer or General Counsel (or any individual serving in an equivalent position) of the Named Insured, as well as the knowledge of any person who signed the Application, shall be imputed to the Insured Organization itself. If the foregoing persons had no actual knowledge of a material misrepresentation or omission in the Application, the Insurer shall not seek to rescind coverage for Insured Persons who lacked knowledge of the misrepresentation. The Insurer agrees that knowledge possessed by an Insured Person of any wrongful conduct by another Insured Person shall not by itself constitute a misrepresentation in the Application.

G. **Changes in Exposure – Acquisitions and Mergers:** If during the Policy Period the Insured Organization **creates or acquires** a new Subsidiary (as defined) that falls within the criteria of Section II.C (Subsidiary) of this Policy, then, subject to the terms of that definition, such Subsidiary (and its Insured Persons) shall be covered under this Policy for Wrongful Acts occurring after the effective date of creation or acquisition. If the newly acquired entity exceeds the size thresholds for automatic coverage, coverage for such entity and its Insured Persons beyond the automatic 90-day period is conditioned upon the Named Insured giving written notice of the acquisition and providing any information requested by the Insurer within 90 days, and upon the payment of any additional premium or amendment of provisions as required by the Insurer (coverage beyond the 90-day period will only continue if the Insurer, at its sole discretion, agrees to provide such coverage).

If during the Policy Period a **Takeover** of the Named Insured occurs (meaning the Named Insured consolidates with or merges into another entity, or another entity or person acquires more than 50% of the Named Insured's voting rights or assets, or the Named Insured sells essentially all of its assets to any person or entity), then this Policy shall continue in force until the expiration of the Policy Period, but only for Claims for Wrongful Acts occurring prior to the effective date of the Takeover. The Named Insured shall give written notice to the Insurer of a Takeover as soon as practicable (but not later

than 60 days after the Takeover effective date). No coverage shall be provided for any Wrongful Acts occurring after the Takeover effective date. In the event of a Takeover, the entire premium for this Policy shall be deemed fully earned as of the effective date of the Takeover.

H. **Extended Reporting Period (Discovery Period):** If either the Insured or the Insurer refuses to renew this Policy (or in the event the Insurer cancels this Policy other than for non-payment of premium), the Named Insured shall have the right to elect an **Extended Reporting Period** (ERP) for the period and premium indicated in the Declarations (e.g. 12 months for 125% premium, 36 months for 200%, etc.) by providing written notice and paying the additional premium no later than 30 days after the Policy's expiration or cancellation date. The ERP (if purchased) shall extend the period in which Claims first made against an Insured after the end of the Policy Period will be deemed covered, but only if such Claims arise from Wrongful Acts occurring entirely prior to the end of the Policy Period and on or after the Continuity Date. The ERP is not cancelable and the premium for the ERP is deemed fully earned at inception of the ERP. If a Takeover of the Named Insured occurs, the Named Insured shall have the right to request an ERP (run-off coverage) for up to six (6) years (if offered by the Insurer), under such terms and premium as the Insurer may reasonably impose. Any Extended Reporting Period is part of the Policy Period (supplemental reporting period) and does not increase the Limit of Liability.

I. **Cancellation and Non-Renewal:** The Named Insured may cancel this Policy at any time by giving prior written notice to the Insurer (or by surrender of the policy). In such case, the Insurer shall refund any unearned premium on a pro-rata basis. This Policy may be canceled by the Insurer **only** for non-payment of premium. If the premium is not paid when due, the Insurer may cancel this Policy by sending written notice of cancellation to the Named Insured at least 15 days in advance of the effective cancellation date (via first class mail or equivalent). The effective date of cancellation shall be not less than 15 days from the date of the Insurer's notice. The mailing of such notice to the Named Insured at its last known address shall be sufficient proof of notice. The Policy Period will terminate on the date and hour specified in the cancellation notice. In the event of cancellation by the Insurer for non-payment, the Insurer shall retain the pro-rata proportion of the premium for the time this Policy was in force. If the Named Insured cancels the Policy, the Insurer shall retain any applicable minimum earned premium or short-rate portion of the premium as specified by state law. If the Insurer decides not to renew this Policy, it will provide the Named Insured with written notice of non-renewal in accordance with the laws or regulations of the jurisdiction in which this Policy is issued.

J. **Authorization and Notices:** By acceptance of this Policy, the Named Insured shall act on behalf of all Insureds with respect to: giving and receiving of all notices under this Policy (including notice of Claim or cancellation or non-renewal), payment of premiums and receipt of any return premiums, and acceptance of any endorsements to this Policy. In addition, it is agreed that the Named Insured is authorized to reject or accept any Extended Reporting Period option on behalf of all Insureds. The Insureds agree that the Named Insured shall be the sole agent of all Insureds for the above-stated purposes.

K. **Bankruptcy or Insolvency:** Bankruptcy or insolvency of any Insured shall not relieve the Insurer of its obligations under this Policy. In the event a liquidation or reorganization proceeding is commenced by or against an Insured Organization (under the U.S. Bankruptcy Code or any similar state or local law), the Insured Organization and the

Insureds agree to cooperate with the Insurer in taking whatever measures are necessary to effectively obtain relief from any automatic stay or injunction (to the extent permitted by law) so as to allow the Insurer to respond to and/or defend any Claim against an Insured Person covered under this Policy. The Insurer acknowledges that coverage under this Policy for Insured Persons shall remain available even if the Insured Organization is unable or unwilling to indemnify such Insured Persons due to financial insolvency.

L. **Territory and Valuation:** This Policy applies to Claims made anywhere in the world, to the extent legally permissible. All premiums, limits, Retentions, Loss and other amounts under this Policy are expressed and payable in U.S. dollars. If a judgment or settlement is rendered in a currency other than U.S. dollars, payment under this Policy shall be made in U.S. dollar equivalent at the rate of exchange published in *The Wall Street Journal* on the date the judgment becomes final or the settlement is agreed upon.

M. **Conformance with Law:** Terms of this Policy that conflict with the laws or regulations of any jurisdiction wherein this Policy is issued are hereby amended to conform to such laws or regulations. If any provision of this Policy is found to be unenforceable under applicable law, such provision shall be deemed amended or reformed to the minimum extent necessary to render it enforceable while preserving the intent of the provision, and the remainder of the Policy shall remain in full force and effect.

End of Directors and Officers Liability Coverage Part.

(All other terms, conditions, and exclusions of the Policy remain unchanged.)